Wharton essential research

Eight-page reading edition | Original research dates preserved

This edition condenses the 81-page compilation to the developments, company cases, model limits and macro inputs needed for a focused review. It preserves the same research snapshot (November 2, 2026 at 10:54 CST); later monitoring is outside this edition.

Reading order

Pages	What to read
2-3	The final October 23 and October 30 weekly reports, preserved in full.
4-5	All 11 company cases, key risks, later reported changes and proposed review checks.
6	One dated model comparison and the limitations that prevent accepting it as a valuation.
7-8	Selected macro inputs, industry demand figures, direct source links and remaining gaps.

What was kept and removed

Component	Kept	Removed from this edition
Weekly record	Both final weekly reports and their coverage limits.	Superseded October 23 premarket edition.
Companies	All 11 core cases, main risks, relevant updates and proposed checks.	Full Five Forces/SWOT, long news lists, routine notices and illustrative EPS scenarios.
Valuation	One 11-company comparison, model date and material method issues.	Full input tables, annual cash-flow forecasts, sensitivities, solver/debug detail and setup instructions.
Macro evidence	Selected dated yields/FX, country risk and revenue shares, one demand measure per industry, caveats and links.	Long source bibliography, alternate yield/FX conventions and redundant older forecasts.
Supporting records	Source links, research cutoff, holdings and human-check status.	Embedded original files, CSV logs and general research tutorials.

Research status

No individual stocks were held as of the October 23 confirmation. Equity ETF purchases remain unconfirmed; company review checks remain provisional. Human source reading and rewriting are pending. The full 81-page archive is retained unchanged.

Weekly research summary

Post-close edition | October 23, 2026 | Partial source and price coverage
Prepared 2026-10-23 16:10:42 EDT -0400

1 ISRG: legal charge and recurring-revenue pressure

Sourced - October 21 filing: a $450m private antitrust settlement remains subject to court approval. Planned pricing actions could reduce da Vinci instrument/accessory revenue per procedure 3-5% once fully implemented, excluding mix. Judgment: test whether procedure growth offsets lower revenue per case; private litigation does not establish regulator action. Filing

2 Meta: multiyear commitments exceed annual spending

Sourced - October 22 filing: $355.73bn of uncommenced leases plus $454.52bn of noncancelable commitments; calculated total $810.25bn. Up to $14.72bn of contingent cloud capacity is additional. October 21 results show $135-145bn annual capex guidance and Q3 free cash flow of -$2.12bn. Judgment: compare monetization and cash generation with these multiyear, mixed-purpose commitments; they are neither annual AI capex nor debt. 10-Q | Results

3 Macro: inflation expectations remain elevated

Sourced - October 23 Michigan final survey: sentiment 48.0 versus 48.1; one-year inflation expectations 4.7% versus 4.6%, long-run 3.5% versus 3.4%. Latest released DGS10 is October 21: 5.13%, versus October 14: 5.19%, a -0.06 percentage-point weekly change, below the 0.25 RED rule. FRED update: October 22, 16:16 EDT; this is not today's closing yield. Judgment: inflation persistence remains relevant to discount rates. Michigan | FRED

RED record: historical alerts, already delivered

No new RED verified in this post-close check. BSX cut its outlook July 29 and warned September 8 that July ranges were unlikely to be met; ZTS cut guidance August 6. LLY lowered the EPS upper endpoint August 5 because acquisition charges outweighed an underlying outlook increase. These were logged October 23 as catch-up, not new announcements. BSX | ZTS | LLY

Proposed thesis signals: proximity remains conditional

All company rules are provisional and require two consecutive future quarters. ISRG Q3 procedure growth of 14% is above its proposed <10% threshold, whose test starts Q4. BSX's existing warning already qualifies under the general RED rule; its proposed organic-growth test starts Q4. MPWR's tax-control weakness is known, not new. Next tests: PYPL/HUBB October 27; MPWR/LLY October 29; JKHY November 3. Numerical proximity for future quarters is unknown.

GREEN context and coverage limits

GREEN context: BSX's October 7 scheduled management/segment transition and ADI's October 21 mini-tender response remain routine notices. Partial coverage: 26 quote pages attempted at 16:02:07-08 EDT; only NXPI exposed a completed October 23 close-to-close comparison. The other 25 closing comparisons and all 26 current after-hours comparisons were unverified, including all five iBonds. Old/missing prices are not a no-breach finding. Cache delay is unknown; issuer/SEC gaps and primary PMI/Kansas City detail remain unresolved. Monitoring began October 23; this is not a complete weekly archive.

No individual stocks held; planned ETF purchases remain unconfirmed. Original-source reads for this check: 16:01:50-16:05:44 EDT (-0400); detailed macro recheck at 16:05 EDT. Historical items retain their original logging times in the signal log. AI-assisted research: human source reading and rewrite remain PENDING before submission.

Wharton weekly research summary

October 26-30, 2026 | After-close assembly | Partial coverage

Prepared October 30, 2026 at 16:47:03 CDT (UTC-0500)

Friday closing prices, extended-hours moves and the post-close DGS10 release are unverified. This edition uses previously verified records; no new source scan occurred after the cutoff.

1. Preliminary price thresholds. Secondary: BSX fell 12.54% in the October 28 premarket snapshot. XLK fell a calculated 5.33% at 13:44 EDT October 30 versus its October 29 regular close. Both met approved alert thresholds; neither establishes Friday's closing change. [1] [2] [10]

2. Lilly: lower stated EPS, stronger underlying outlook. Sourced: FY non-GAAP EPS guidance fell to $35.00-36.00 from $35.50-36.50. A $4.07 underlying midpoint increase was offset by $4.57 of Q3 acquired in-process R&D charges; revenue guidance rose to $91-92bn from $85-87bn. Judgment: the general guidance-cut RED applies, while the charge bridge must remain distinct from operating demand. [3]

3. AI investment absorbs cash. Sourced: Microsoft FY27 Q1 cash property/equipment additions were $39.367bn versus $19.394bn a year earlier. Alphabet Q3 operating cash of $42.290bn minus $51.355bn capex gives calculated FCF of -$9.065bn. Amazon TTM FCF was -$42.4bn; approximately $220bn of 2026 cash capex was maintained. Judgment: cash pressure merits review; these different periods do not establish investment returns or a new spending raise. [4] [5] [6]

Four newly logged RED records

First-read times: EDT (UTC-04:00). Event/publication dates differ.

Item	Approved rule / scope	First verified read
BSX	Premarket stock move >=10%; preliminary quote.	Oct 28 08:47:18
PYPL	September FTC demand disclosed Oct 27; historical catch-up, no misconduct finding. [7]	Oct 28 09:45:23
LLY	Stated EPS guidance cut; acquisition-charge bridge above.	Oct 29 11:44:49
XLK	Intraday ETF move >=5%; purchase remains unconfirmed.	Oct 30 13:53:13

Proximity to proposed company signals

Judgment: Hubbell Q3 organic sales growth of 11% is above its proposed <5% threshold; PayPal transaction-margin dollars excluding customer-balance interest grew 3%, above its proposed <=0% threshold. Neither completes a two-quarter test. Lilly's proposed test is company-wide volume growth <15% in Q3 and Q4, not EPS. BSX starts Q4 after reported operating restoration; ISRG starts Q4. All 11 company signals remain provisional, with no adopted formal-review trigger. [8] [9]

Coverage and outstanding checks

October 30 sources returned at 15:14 EDT (14:14 CDT), but monitor processing resumed at 17:32 EDT (16:32 CDT); cause unknown. Intervening coverage is unverified. The delayed review validated 24 older October 29/28 close pairs, not Friday closes. Monday and Friday morning gaps and two earlier prolonged runs also limit weekly coverage. Four primary-source checks remain unresolved: PMI, Aramco/shipping claims, Project Jupiter and ADNOC/XRG methodology.

No individual stocks held; equity ETF purchases planned/unconfirmed; ladder held per handoff. Human original-source reading and rewrite PENDING before submission. No trading action proposed.

Source links [1]-[10] are clickable. Complete URLs and source names appear in the editable companion; original read clocks remain in the signal/source logs.

Company essentials 1 of 2

Business cases and risk emphasis are Judgment. Reported updates are Sourced unless identified as Secondary. All checks below are proposed, unapproved two-quarter tests; none is an adopted formal-review trigger. Dates and catalysts remain those of the frozen snapshot.

Ticker	Case and reported update	Proposed review check
PYPL	**Judgment:** The network can support better checkout monetization, but competition and regulatory practices remain risks. **Sourced:** October 27 raised FY2026 non-GAAP EPS guidance to about $5.60 from $5.38. The filing disclosed a September FTC demand; no misconduct finding. Source 1 | Source 2 | Source 3	Transaction-margin dollars excluding customer-balance interest grow <=0% y/y in both Q3 and Q4 2026.
ZTS	**Judgment:** Veterinary relationships and the animal-health portfolio support repeat prescribing; competition, generics and safety concerns threaten recovery. **Sourced:** August 6 guidance cut is historical. October 20 Convenia RTU approval adds product context; November 5 results were pending. Source 1 | Source 2 | Source 3 | Source 4	Organic operational revenue growth <0% y/y in both Q3 and Q4 2026.
LLY	**Judgment:** The obesity franchise supports volume growth; pricing and acquisition costs complicate earnings. **Sourced:** October 29 non-GAAP EPS outlook fell to $35-36 from $35.50-36.50: $4.57/share acquired-R&D charges outweighed a $4.07 underlying midpoint increase. Revenue outlook rose to $91-92bn from $85-87bn. Source 1 | Source 2	Company-wide volume growth <15% y/y in both Q3 and Q4 2026; this is separate from EPS.
HUBB	**Judgment:** Grid connection and protection offer utility-modernization exposure; test NSI integration, leverage and cash conversion. **Sourced:** October 27 Q3 organic growth was 11%; adjusted EPS outlook rose to $20.40-20.60. GAAP guidance narrowed around an unchanged midpoint. Source 1 | Source 2 | Source 3	Organic sales growth <5% for two consecutive quarters, beginning Q3 2026.
MPWR	**Judgment:** Server power density supports demand, while AI concentration, reinvestment and historical tax-control weakness increase risk. **Sourced:** October 29 Q3 revenue was $1.2024bn; Q4 guidance was $1.315-1.385bn. Appointments do not establish remediation of the known control weakness. Source 1 | Source 2 | Source 3	Consolidated revenue growth <15% y/y for two consecutive quarters, beginning Q3 2026.
BSX	**Judgment:** Cardiac franchises depend on clinical adoption; competition and cyber disruption challenge recovery. **Sourced:** October 28 provided FY adjusted EPS of $3.16-3.18 after September warned July targets would likely be missed. Secondary: the preliminary premarket fall met the 10% RED rule. Source 1 | Source 2 | Source 3	Organic growth <5% for two consecutive quarters, starting Q4 2026 after reported operating restoration.

The shorter summaries retain the key case and risk. Full financial reconciliations, source-read clocks and complete company narratives remain in the archive, pages 12-22 and its original attachments.

Company essentials 2 of 2

Business cases and risk emphasis are Judgment. Reported updates are Sourced unless identified as Secondary. All checks below are proposed, unapproved two-quarter tests; none is an adopted formal-review trigger. Dates and catalysts remain those of the frozen snapshot.

Ticker	Case and reported update	Proposed review check
ISRG	**Judgment:** Installed systems support recurring instruments and service; lower revenue per procedure can pressure returns. **Sourced:** Q3 procedure growth was 14%. Planned pricing could lower instrument/accessory revenue per procedure 3-5%, excluding mix. The $450m private settlement remains subject to approval. Source 1 | Source 2	Worldwide da Vinci procedure growth <10% y/y for two consecutive quarters, starting Q4 2026.
JKHY	**Judgment:** Embedded bank software supports recurring revenue; bank mergers and modernization costs remain risks. **Sourced:** The October 29 partial update reported $17.9m fiscal-Q1 deconversion revenue and a $30m FY2027 estimate. These fees are excluded from non-GAAP revenue; November 3 operating results were pending. Source 1 | Source 2 | Source 3	Non-GAAP adjusted revenue growth <5% y/y in both FY2027 Q1 and Q2, using reconciled company definitions.
ETN	**Judgment:** Electrical systems, cooling and aerospace may benefit from grid/data-center demand; backlog must convert to profitable cash despite acquisitions and capacity ramps. **Sourced:** November 3 results were the next scheduled test in the snapshot. Source 1 | Source 2 | Source 3	Electrical Americas organic revenue growth <5% for two consecutive quarters, beginning Q3 2026.
AME	**Judgment:** Specialized instruments support retention and aftermarket demand; separate organic growth from acquisitions and test cash conversion. **Sourced:** Indicor integration remained a focus; November 3 results were the next scheduled check. Source 1 | Source 2 | Source 3	Company organic sales growth <3% for two consecutive quarters, beginning Q3 2026.
ADI	**Judgment:** Analog relationships offer industrial-recovery exposure; distinguish durable demand from inventory rebuilding. **Sourced:** Alif closing and benefits remained conditional in the snapshot. Fiscal Q4 results were scheduled for November 24. Source 1 | Source 2 | Source 3 | Source 4	Industrial revenue growth <=0% y/y for two consecutive quarters, beginning fiscal Q4 2026.

The shorter summaries retain the key case and risk. Full financial reconciliations, source-read clocks and complete company narratives remain in the archive, pages 12-22 and its original attachments.

Valuation research and limits

October 23 conditional model results | Comparison prices dated October 22

All 11 runs completed after factual cash, price and share-input corrections. These are conditional reproductions of the supplied model; their method issues remain unresolved. The comparison below is a revenue-growth sensitivity, not an expected return, unique market forecast or accepted current valuation.

Company	Base five-year revenue CAGR	Price-matching five-year revenue CAGR
PYPL	3.8%	-3.4%
ZTS	3.0%	2.1%
LLY	13.8%	27.2%
HUBB	6.0%	11.0%
MPWR	15.3%	33.1%
BSX	7.4%	7.4%
ISRG	13.5%	26.4%
JKHY	5.5%	11.7%
ETN	7.8%	17.8%
AME	4.8%	14.6%
ADI	10.6%	20.2%

The reverse calculation shifts all ten annual growth rates together while holding other inputs fixed, then returns to 3% terminal growth after year ten. JKHY covers FY2027-31; the others cover FY2026-30. It also shifts the nearly completed first year. This supplies one price-matching path, not the growth the market uniquely expects.

Material issues retained

Timing: full first-year cash flow is discounted over a short stub without a complete capital roll-forward. **EBIT:** ETN, LLY and ZTS use pretax-income proxies. **Cash conversion:** synthetic D&A mixes SBC, working-capital and tax effects while shares stay fixed. **Equity bridge:** historical cash/debt and acquisition/claim scopes remain incomplete. **Terminal value:** 47-54% of enterprise value is terminal, with unreconciled growth/reinvestment sensitivity.

Judgment: reconstruct current-date unlevered cash flow and a consistent equity bridge before relying on valuation differences. Passing numerical tests does not validate the model economics. Full method review is in archive pages 26-30; detailed reports are pages 32-81. No model was rerun for this condensed edition.

Macro inputs for review

Observation dates and source conventions are part of each figure

October 30 yields and FX

Input	Selected value	Instrument and source
US 10-year	4.94% per year	Treasury interpolated nominal par CMT; near 15:30 New York input prices. Treasury
Germany 10-year	3.34% per year	Current 10-year Federal-bond reference yield, not a fitted curve. Bundesbank
India benchmark	7.3977% YTM	Indicative 9Y-10Y bucket: 6.94% GS 2036. Coupon and YTM differ. CCIL
EUR/USD	1.1172 USD per EUR 1	ECB euro reference rate. ECB
USD/INR	95.1388 INR per USD 1	CCIL daily transaction-based reference, not a single close. CCIL

Sourced: these are different daily reference conventions, not synchronized closes; some exact fixing times are unexposed. The monitor's FRED 4.98% observation was October 29, whereas the requested Treasury 4.94% row is October 30. Judgment: match discount rates to cash-flow currency and avoid double counting sovereign/operating risk.

dLocal geography and January country premiums

Country	FY2025 revenue share	January 5 2026 country risk premium
Brazil	18.95%	3.24%
Mexico	16.74%	2.46%
Argentina	14.73%	9.71%
Egypt	5.46%	9.71%
India	Unknown	2.85%
Requested fifth market	Not separately identifiable	Unknown

Sourced: FY2025 revenue geography follows where merchant customers' end users execute payments. Country weights use reported revenue, not TPV or merchant domicile. dLocal 20-F Note 5 | Damodaran January table

Calculated: named countries cover 55.88% of USD 1,093.587m total revenue; 44.12% remains aggregated. The exact global top-five ranking and India share are unknown. Country risk premium is not total ERP. No company-wide weighted premium is supported. Original macro source reads occurred November 2 at 11:46-11:50 EST; full clocks remain in archive pages 3-7.

Demand context and evidence gaps

One industry measure each | Original dates retained

Industry	Retained figure and source	Interpretation limit
IT services	Gartner October 21 forecast: 2026 Services spending USD 1.557tn, +4.4%; 2027 USD 1.633tn, +4.9%. Original	Both years are forecasts. Use Services, not the overall IT headline. IaaS is listed separately.
Exchanges	CME September 2026 ADV 31.8m contracts per trading day, +22% versus September 2025. Published October 2. Original	Actual monthly CME volume, not industry-wide activity or revenue growth. Product mix and fees matter.
Ratings	S&P Economics July 31 newsletter forecast roughly +8% global bond issuance in 2026. Original	Historical July forecast. The newer October original body was inaccessible, so the latest outlook remains unverified. Issuance growth is not ratings revenue growth.

Judgment: these near-term figures can test the starting demand story. They do not establish ten-year company growth, earnings conversion or valuation. The new macro inputs have not been inserted into the October 23 models.

Evidence gaps that remain necessary

Weekly source and execution coverage: monitoring began October 23 and contains disclosed gaps. The original October 30 report did not verify Friday closes or the post-close DGS10 release; its later assembly did not constitute a new scan.

Subsequent evidence already in the 81-page snapshot: the November 2 check verified 25 October 30/October 29 completed price pairs, all below the approved thresholds. IBTR's pair and current quotes for all five iBonds remained unverified. DGS10 October 29 at 4.98% versus October 22 at 4.96% was +0.02 percentage points; this is a released-observation comparison, not a live yield.

Four unresolved primary-source questions: older flash-PMI details; Aramco/shipping physical-impact claims; Project Jupiter notice/contract terms; and ADNOC/XRG methodology. The verified November 2 ISM report does not resolve a separate flash-PMI source gap.

Research limits: selected company/SEC pages were blocked, cached or incomplete. Missing quotes or absent index rows do not establish that no threshold breach or new event occurred. The dLocal fifth-market/India gaps and S&P outlook recency gap remain explicit.

Source and revision record

Condensed from the 81-page compilation frozen at November 2, 2026 at 10:54 CST. That archive retains original links, dates, read times and full model/input detail. Later monitoring records are not incorporated into this reading edition. The two final weekly pages are preserved; other sections are labeled summaries.

Human source reading and rewriting remain pending before submission. No Trading Notes, reflections, trades, position sizes or new price targets are provided. Prepared 2026-11-02T11:15:54.541372-06:00 America/Chicago.